April 2012

WELLS FARGO ADVISORS

Quarterly Economic and Market REVIEW

A look back by our Advisory Services Group

Economy

The U.S. economy proved to be more resilient than many people expected, as we saw inflation subside and job creation improve. *See page 2 for details.*

U.S. equities

Stocks had a stronger quarter, as investors seem willing to take more risk. *More on page 4.*

Fixed income

Volatility increased in the fixed-income market during the quarter, and demand for bonds diminished. *Turn to page 6 for additional information.*

International and commodities

The euro-zone received extra liquidity, and sentiment turned positive for international and commodity markets. However, caution emerged late in the quarter as economic momentum in China weakened. *Find our summary on page 8.*

Investor sentiment improved further

Gary Thayer
Chief Macro Strategist

The first quarter ended on a high note with stocks advancing during the past two quarters at the fastest rate since the spring and summer of 2009. That is when the U.S. economy was just starting to reverse course and recover from the deep 2008-2009 recession.

The rally in the stock market indicates that investors are not as fearful as they were last summer, when U.S. government debt was downgraded and the European debt crisis appeared to be out of control. Fortunately, the situation in Europe has stabilized after the European Central Bank offered unlimited loans to European banks, preventing a liquidity crisis.

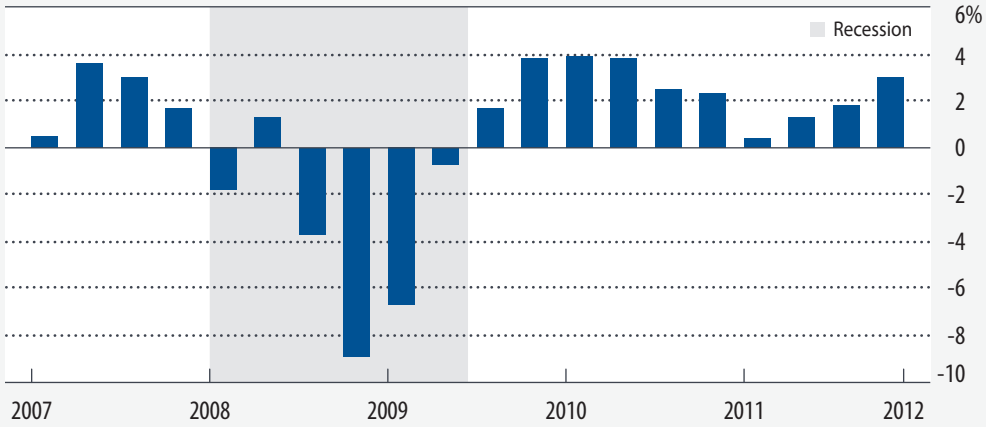
Investors seem to be more optimistic because the U.S. economy has weathered many problems and is proving to be more resilient than many people expected. An important sign of increased confidence has been the outperformance of the more volatile cyclically-sensitive sectors of the stock market, relative to the defensive sectors.

As the stock market rallied, the demand for bonds waned. As a result, yields on longer-term Treasury bonds increased toward the end of the first quarter and the Treasury bond market weakened. Last year, bonds did better than stocks because investors were worried about a double-dip recession and a repeat of the 2008-2009 markets. This year, stocks are doing better than bonds as more investors are willing to take risk and are looking for opportunities rather than safety.

Finally, the stock market also outperformed commodities during the first quarter. Commodities have been stronger than stocks during much of the past decade causing investors to shun stocks even though earnings increased. As a result, the price-to-earnings (P/E) ratio declined over the past decade. The latest strength in stocks relative to commodities could be an important sign that investors are viewing stocks more favorably, and the P/E ratio could increase if a shift in sentiment is occurring.

Economic growth remained moderate

Percent change in inflation-adjusted gross domestic product (GDP), seasonally adjusted annual rate



Past performance is not an indication of future results. **Source:** Haver Analytics, Wells Fargo Advisors

▶ The U.S. economy remains in a moderate expansion. Recent economic data indicate that economic activity has improved during the past several months as last year's recession fears have diminished.

Inflationary pressures subsided

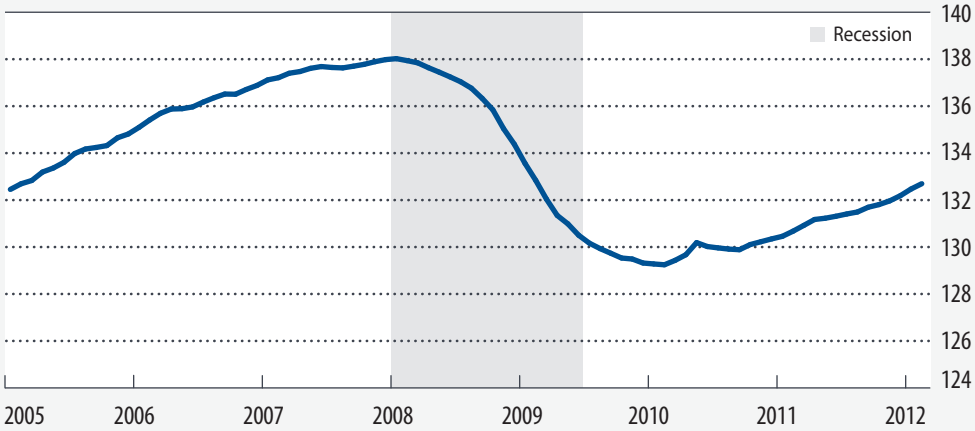
Consumer price index (CPI), not seasonally adjusted year-over-year percentage change

Past performance is not an indication of future results. **Source:** Haver Analytics, Wells Fargo Advisors

▶ Inflationary pressures have abated in recent months as the global economy slows down. The recent increase in energy prices may keep inflation from declining in the near-term, but slower global economic growth is likely to dampen the demand for resources, and goods and services this year.

U.S. job creation improved, giving investors more confidence

Total nonfarm payrolls, in millions, seasonally adjusted



Past performance is not an indication of future results. **Source:** Haver Analytics, Wells Fargo Advisors

▶ One clear sign that the economy is doing better is the increase in job creation and the decline in job cuts during the past few months. Unfortunately, payrolls are still well below their January 2008 peak.

Stocks showed strongest first quarter since 1998

Stuart Freeman, CFA®
Chief Equity Strategist

Scott Wren
Senior Equity Strategist

Positive market momentum so far this year has carried the S&P 500 above the highs set in May 2011. In fact, the stock market had its strongest first-quarter advance since 1998. The S&P 500 rallied 12% in the first quarter, while the Dow Jones Industrial Average rose 8.1%. The NASDAQ Composite also increased, rising 18.7%.

The economically-sensitive sectors of the stock market are doing better than the less volatile defensive sectors of the market so far this year. The best performers in the quarter were Information Technology (+21.1%), Financials (+21.5%) and Consumer Discretionary (+15.5%); the worst performers were Utilities (-2.7%), Telecom (+0.6%), and Energy (+3.4%).

During much of the last 15 months, the equity markets have experienced volatile range trading as investors digested the gains in the major indices from the March 2009 recession lows. Despite recent positive progress, the euro-zone debt crisis has heightened investor anxiety, and events in the Middle East are still quite unsettling.

The current cyclical bull market began in March 2009. As we believe there is still more job expansion, consumer income growth, and consumer confidence and spending growth ahead, we continue to foresee strong potential for this recovery to offer another leg up for stocks. Longer-term investors should take particular notice of this potential, especially given today's relatively low P/E valuations.

Our analysis suggests earnings growth will be substantially slower in 2012 when compared to the last couple of years. Earnings comparisons in coming quarters should continue to be positive, but offer smaller upward surprises than during the last few reporting periods. We see S&P 500 operating earnings rising approximately 5% this year versus an 18% increase in 2011.

As we work through the middle portion of this economic cycle, we recommend a more balanced approach toward portfolio allocations. We recommend that clients continue to carry a slight cyclical bias in terms of sector weightings, with the higher likelihood that we lean toward greater cyclicality over the next few quarters. The slower growth environment that we see ahead requires, in our opinion, an allocation slightly more weighted toward growth versus value.

With volume low and upward momentum possibly moderating, the stock market could be vulnerable to a correction at some point this spring. We would still view a pull back as a buying opportunity. Investor sentiment is not overly optimistic, and investors are not overleveraged. Margin debt has not been rising significantly faster than the overall market. Therefore, we would not expect a large correction that typically comes from liquidating leveraged positions. We are still looking for the S&P 500 Index to end 2012 around the 1325-1375 level.

U.S. equity indexes total returns

As of March 30, 2012

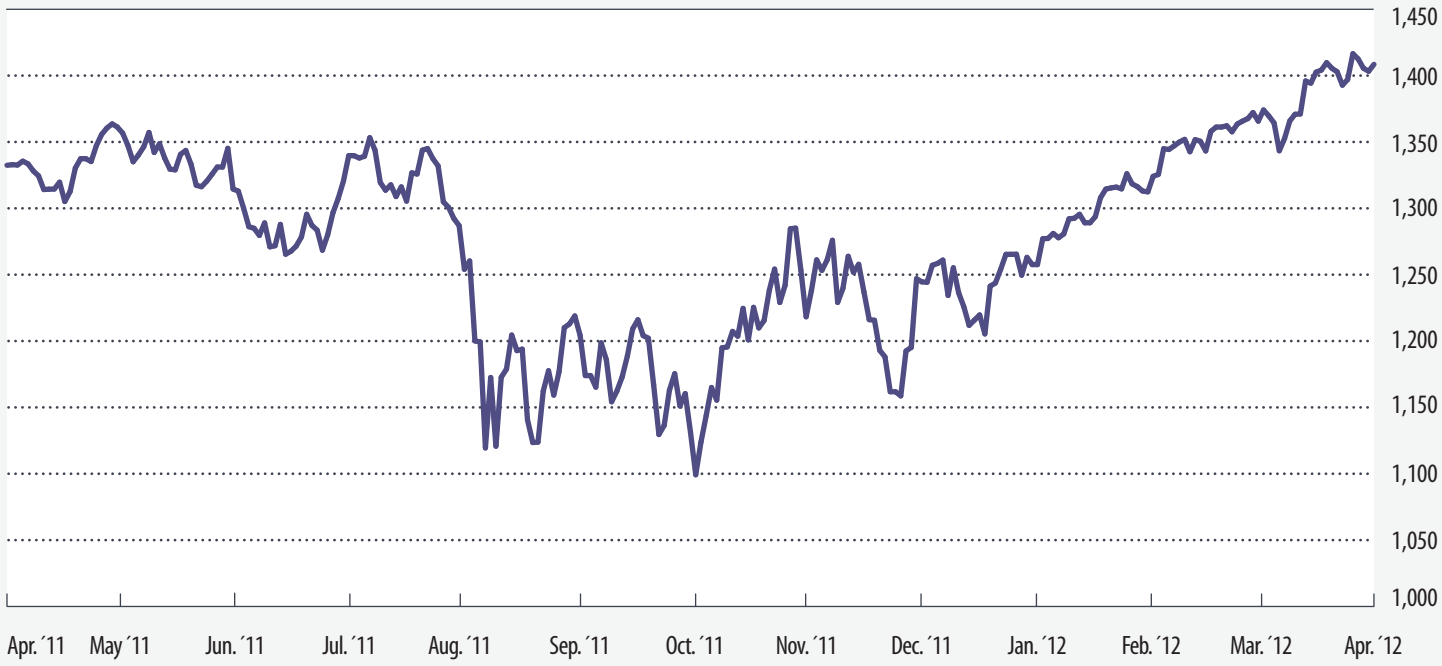
	1st QTR	YTD	1 YR	3 YR	5 YR
S&P 500 Index	12.59%	12.59%	8.54%	23.39%	2.01%
S&P 500 Pure Growth	14.00%	14.00%	7.01%	32.66%	7.21%
S&P 500 Pure Value	16.88%	16.88%	6.44%	43.55%	1.43%
S&P 400 Total Return	13.10%	13.10%	0.53%	26.69%	3.22%
S&P 400 Pure Growth	14.32%	14.32%	4.27%	36.93%	11.21%
S&P 400 Pure Value	14.59%	14.59%	1.41%	39.69%	2.36%
Russell 2000	12.06%	12.06%	-1.57%	25.23%	0.73%
Russell 2000 Growth	13.28%	13.28%	0.68%	28.34%	4.15%
Russell 2000 Value	11.59%	11.59%	-1.07%	25.33%	0.02%
MSCI US REIT Index	10.73%	10.73%	13.03%	43.19%	-0.17%

Source: FactSet, Wells Fargo Advisors

- As investor confidence improved during the first quarter, the economically-sensitive sectors of the stock market outperformed the defensive sectors.
- In the first quarter of 2012, value stocks outperformed growth by approximately 2.9%.
- So far this year, mid-cap stocks outperformed, while small-cap stocks slightly lagged relative to the S&P 500 Index.

The stock market started the year off strong

S&P 500 performance



Past performance is not an indication of future results. An index is not managed and is unavailable for direct investment.

Source: Bloomberg, Wells Fargo Advisors

The first quarter delivered volatility in the fixed-income markets

Brian Rehling, CFA®
Chief Fixed Income Strategist

After little movement in the bond market during the fourth quarter of 2011, volatility picked up over the last three months. Preferred securities and corporate bonds posted the best gains in the traditional fixed-income sectors. We continue to favor the spread sectors as we think these sectors should continue to provide positive relative performance in future quarters. We did not change any domestic fixed-income weightings during the first quarter but we did increase allocations to emerging-market debt to overweight from neutral.

On January 25, 2012, the Fed took several steps to communicate to the market that it will remain in a highly accommodative stance for the foreseeable future. Perhaps the most visible change was the FOMC statement that the Fed Funds rate would likely warrant exceptionally low levels through late 2014. Ten-year interest rates initially moved lower on the news, hitting 1.8%; however steadily improving economic data pushed ten-year interest rates higher during February and March.

The Fed is currently implementing "Operation Twist" (selling short-term Treasury securities and buying longer-term Treasury maturities) which is set to end on June 30, 2012. Absent any new Fed programs, a large buyer of longer-dated securities will be removed from the market. We expect this to put pressure on rates near the end of the second quarter. We currently project a 2012 year-end yield of 3.0% for the ten-year Treasury with a trading range between now and year-end of 1.75% - 3.25%.

Investors purchasing longer-dated bonds face an investment horizon that may include significantly higher yields, which would negatively impact bond prices. It is important that investors not become complacent. Much like equity prices, interest rates do not move in a straight line. While we see rate movements somewhat benign over the next 12 months, the timing of significant moves often takes the market by surprise.

Investors should take care to diversify their holdings in fixed-income allocations, holding positions both outside of the United States and in currencies other than the dollar to be better prepared for any future market issues.

Fixed income index total returns

As of March 30, 2012

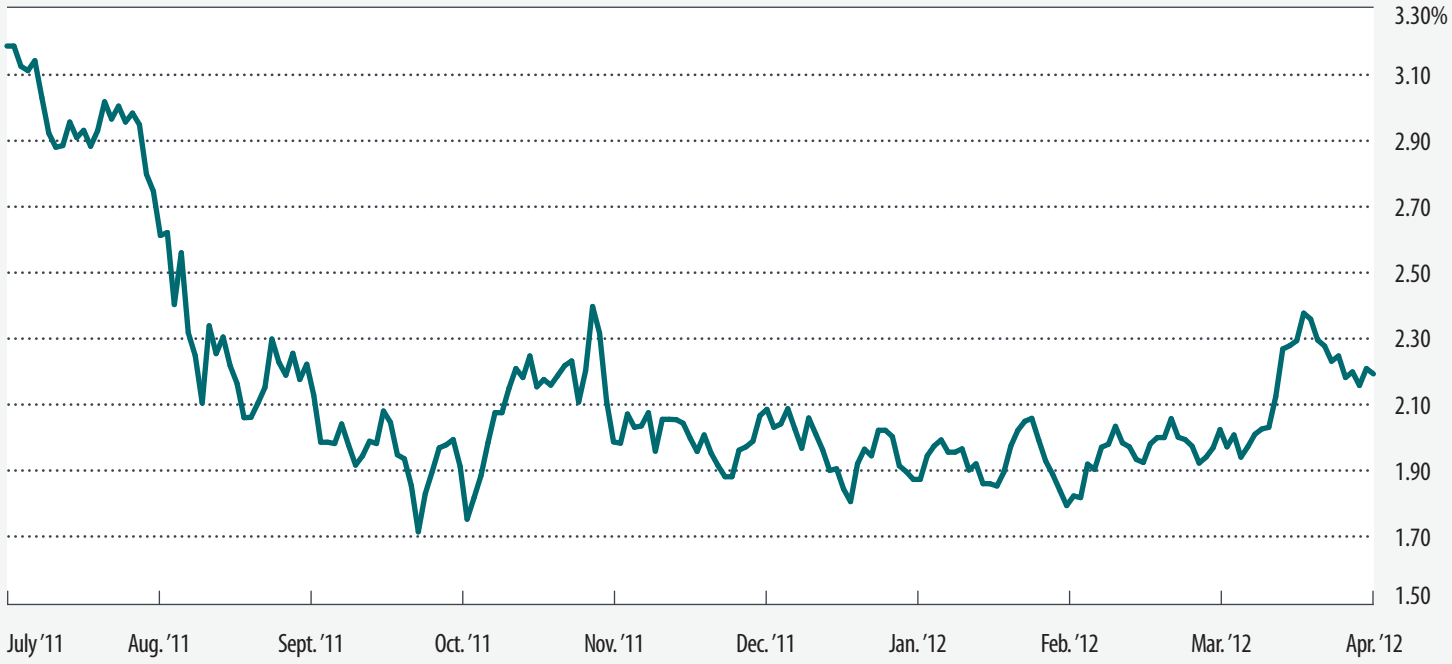
	1st QTR	YTD	1 YR	3 YR	5 YR
Traditional fixed income sectors					
BofA Merrill Lynch U.S. Treasuries - *Master*	-1.30%	-1.30%	8.51%	12.07%	35.39%
BofA Merrill Lynch U.S. Agencies - *Master AAA*	-0.02%	-0.02%	4.92%	11.48%	29.82%
BofA Merrill Lynch Mortgages - *Master*	0.60%	0.60%	6.22%	16.73%	36.20%
BofA Merrill Lynch U.S. Corporates - *Master*	2.44%	2.44%	9.07%	46.55%	38.70%
BofA Merrill Lynch Preferred Stock Fixed Rate	6.75%	6.75%	7.30%	97.48%	-1.21%
BofA Merrill Lynch U.S. Treasuries - *Inflation Linked*	0.75%	0.75%	12.56%	29.01%	44.88%
BofA Merrill Lynch Municipals - *Master*	2.08%	2.08%	13.17%	27.21%	30.68%
Alternative income sectors					
BofA Merrill Lynch U.S. High Yield - *Master II*	5.15%	5.15%	5.63%	89.63%	45.87%
Citigroup Non-USD WGBI (USD)	-0.22%	-0.22%	3.93%	22.27%	39.92%
JP Morgan EMBI Global	4.86%	4.86%	12.60%	58.00%	51.03%
Aggregate indexes					
Barclays Capital U.S. Aggregate	0.31%	0.31%	7.50%	20.42%	31.14%
Barclays Capital U.S. Municipal Bond	1.74%	1.74%	11.42%	22.34%	26.74%
Customized WFA Benchmark	0.96%	0.96%	8.03%	30.72%	32.60%
Duration indexes *(Treasury)*					
BofA Merrill Lynch U.S. Treasuries (1-5 yr.)	-0.20%	-0.20%	3.13%	7.14%	24.13%
BofA Merrill Lynch U.S. Treasuries (5-10 yr.)	-1.07%	-1.07%	11.74%	16.72%	46.70%
BofA Merrill Lynch U.S. Treasuries (10+ yr.)	-5.57%	-5.57%	23.03%	22.53%	56.78%

Source: FactSet, Wells Fargo Advisors

- Fixed-income volatility increased over the last three months as spreads compressed in our favored sectors of the market: preferred securities, corporate bonds, municipal bonds and emerging-market debt.
- Treasuries started the first quarter of 2012 with declines after big gains in 2011 as better than expected economic data pushed Treasury yields higher. Treasury yields across the curve remain near historically low levels.
- As interest rates increased in the first quarter, long-dated, high-quality securities had the biggest declines. Investors holding longer-dated Treasury securities saw losses of more than 5%.

Yields edged higher in the first quarter

10-year Treasury yield



Past performance is not an indication of future results. An index is not managed and is unavailable for direct investment.

Source: Bloomberg, Wells Fargo Advisors

Cautious optimism prevailed in the international and commodity markets

Paul Christopher, CFA®
Chief International Strategist

Sameer Samana, CFA®
International Strategist

International markets carried upward momentum into the new year, and the renewed optimism coincided with better-than-expected U.S. economic data and a stronger sense of European progress in coping with the debt crisis, especially in Greece. The positive momentum was not very broad across markets, however, and the market rallies entered a consolidation or pause in March. As the quarter ended, a greater sense of caution – or at least selectivity – prevailed in international financial and commodity markets.

The market rallies that began the year seemed to benefit from low investor expectations. In mid-2011, the U.S. economy exhibited its slowest pace of growth since mid-2009 which undermined the 2012 outlook. But the improved momentum at year-end spilled over into 2012 and pleasantly surprised investors. The same was true in Europe, where the European Central Bank injected nearly 500 billion euros (approximately $650 billion) into euro-zone banks. The extra liquidity for the banks was a positive surprise at a moment of deep disillusionment with European leadership.

The abrupt and positive turn in sentiment was broadly positive. International sovereign bond prices rose and the U.S. dollar fell, as investors edged away from the perceived safety of U.S. markets. Meanwhile, international equity and commodity prices posted their best returns in at least a year. March interrupted the pattern, however. Equity, sovereign bond and commodity benchmark indices moved sideways, and the breadth of some asset classes narrowed. International equity and bond prices turned sideways in March, but the greatest divergence occurred in commodities. Only energy prices outperformed the broad commodity index in March, while industrial commodities gave back most of their early-year gains.

A downward trend in commodities

Dow Jones/UBS Commodity Index of 19 commodities

Past performance is not an indication of future results. An index is not managed and is unavailable for direct investment.

Source: Bloomberg, Wells Fargo Advisors

The March interruption in the international market rallies coincided with new reports of weakening economic momentum in China. In fact, Chinese leaders tried to guide expectations lower in early March by announcing a lower 2012 growth target. Simultaneously, economic data out of Europe suggested that the euro-zone recession may run a bit longer and deeper into the year. Overall, the news in March gave investors pause to reconsider how quickly the global economic slowdown of 2011 and 2012 will resolve.

We are encouraged by the recent positive performance, but Europe and China may still deliver disappointments later this year. These lingering uncertainties and recent narrowing of breadth suggest continued selectivity among investors in the coming quarter. Consequently, we retain a cautious international stance.

International equity and commodity index total returns and selected prices

As of March 30, 2012

	1st QTR	YTD	1 YR	3 YR	5 YR
MSCI EAFE	10.86%	10.86%	-5.77%	17.13%	-3.51%
MSCI Emerging Markets	14.08%	14.08%	-8.80%	25.07%	4.66%
DJ UBS Commodities	0.89%	0.89%	-16.28%	9.05%	-2.77%

Foreign exchange levels	Current	3 MTH AGO *(as of 12/30/11)*	1 YR AGO *(as of 3/30/11)*
U.S. dollar index	79.00	80.18	75.86
Euro	1.33	1.30	1.42
Yen	82.87	76.91	83.13
Sterling	1.60	1.55	1.60

Commodities	Current	3 MTH AGO *(as of 12/30/11)*	1 YR AGO *(as of 3/30/11)*
Gold *(per troy ounce)*	$1668.35	$1563.70	$1432.30
Oil *(per barrel)*	$103.02	$98.83	$106.72
Copper *(per pound)*	$382.20	$343.60	$430.75

Source: FactSet, Wells Fargo Advisors

- International markets continued their momentum into the new year led by emerging markets.
- In the developed markets, Europe led the way as investor anxiety continued to ease.
- Emerging markets were led by strength in Asia and Latin America.
- In commodities, energy led the way higher as instability in the Middle East provided a tailwind.

MSCI World Index excluding the United States

One-year chart

Past performance is not an indication of future results. An index is not managed and is unavailable for direct investment.

Source: Bloomberg, Wells Fargo Advisors

Advisory Services Group (ASG) recommendations

As of March 30, 2012

The recommendations in this report are produced by analysts and strategists in Wells Fargo Advisors' Advisory Services Group.

Equity sectors

Overweight	% of S&P 500	Guidance	Evenweight	% of S&P 500	Guidance	Underweight	% of S&P 500	Guidance
Industrials	10.6%	12.0%	Consumer Discret.	10.9%	11.0%	Consumer Staples	10.8%	9.5%
Materials	3.5%	4.0%	Energy	11.2%	12.0%	Financials	14.9%	11.0%
Telecom.	2.8%	5.5%				Health Care	11.4%	10.8%
Utilities	3.4%	7.0%				Info. Tech.	20.5%	17.2%

Note: Weightings may not add to 100% due to rounding.

Source: Bloomberg, Wells Fargo Advisors

Taxable fixed income sector weightings

	Benchmark	ASG recommended allocation	
Duration	5.01 years	Slight underweight	4.00 years

Traditional taxable fixed income sector weightings

	Benchmark	ASG recommended allocation	
U.S. Treasuries	35%	Underweight	25%
Agencies	10%	Slight underweight	8%
Mortgage-backed securities (MBS)	15%	Evenweight	15%
Corporates	25%	Overweight	34%
Preferreds	10%	Overweight	15%
TIPS	5%	Underweight	3%

Source: Wells Fargo Advisors

Alternative fixed income sector weightings

	ASG recommended allocation
International Fixed Income	Evenweight
Emerging Market Debt	Overweight
High-yield	Evenweight

Source: Wells Fargo Advisors

Opportunities in international investments

Equities	Sovereign debt	Currencies
Japan	Australia	Japan
Malaysia	New Zealand	Emerging Asia Basket
Indonesia	Canada	
Mexico		
Thailand		

Source: Wells Fargo Advisors

Important disclaimers

Some information contained in this report was prepared by or obtained from sources that Wells Fargo Advisors believes to be reliable. Any market prices are only indications of market values and are subject to change.

Wells Fargo Advisors may not offer direct investments into the products mentioned in this report.

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Investing in foreign securities presents certain risks not associated with domestic investments, such as currency fluctuations, political and economic instability, and different accounting standards. This may result in greater share price volatility. These risks are heightened in emerging markets.

Duration is the weighted average time until repayment. Duration is always stated in years and can be used to measure the sensitivity of a bond's price to a change in interest rates. For example, the price of a bond with a duration of five years would be expected to rise of fall 5% in price for every 1% decrease or increase in market interest rates.

The duration benchmark is the duration of the Barclays Capital U.S. Aggregate index, which is an index of the U.S. investment-grade fixed-rate bond market, including both government and corporate bonds.

There is no assurance that any of the target prices or other foward-looking statements mentioned will be attained. Any market prices are only indications of market values and are subject to change.

Technology and Internet-related stocks, especially of smaller, less-seasoned companies, tend to be more volatile than the overall market.

The prices of small- and mid-cap company stocks are generally more volatile than large-company stocks. They often involve higher risks because smaller companies may lack the management expertise, financial resources, product diversification and competitive strengths to endure adverse economic conditions.

Investing in fixed income securities involves certain risks, such as market risk if sold prior to maturity and credit risk, especially if investing in high-yield bonds, which have lower ratings and are subject to greater volatility. All fixed income investments may be worth less than original cost upon redemption or maturity. Income from municipal securities is generally free from federal taxes and state taxes for residents of the issuing state. While the interest income is tax-free, capital gains, if any, will be subject to taxes. Income for some investors may be subject to the federal alternative minimum tax (AMT).

Bond prices fluctuate inversely to changes in interest rates. Therefore, a general rise in interest rates can result in the decline of the value of your investment.

There are special risks associated with investing in preferred securities. Preferred securities generally offer no voting rights with respect to the issuer. Preferred securities are generally subordinated to bonds or other debt instruments in an issuer's capital structure, subjecting them to a greater risk of non-payment than more senior securities. In addition, the issue may be callable, which may negatively impact the return of the security. Preferred dividends are not guaranteed and are subject to deferral or elimination.

The interest rate for Treasury Inflation-Protected Securities (TIPS), which is set at auction, remains fixed throughout the term of the security. The principal amount of the security is adjusted for inflation, but the inflation-adjusted principal will not be paid until maturity although the adjustment will be subject to income tax in the year it was earned. Wells Fargo Advisors is not a tax advisor. TIPS have special tax consequences, generating phantom income on the "inflation compensation" component of the principal. A holder of TIPS may be required to report this income annually although no income related to "inflation compensation" is received until maturity.

There are special risks associated with an investment in real estate, including credit risk, interest rate fluctuations and the impact of varied economic conditions. Distributions from REIT investments are taxed at the owner's tax bracket.

While stocks generally have a greater potential return than government bonds and Treasury securities, they involve a higher degree of risk. Government bonds and Treasury bills, unlike stocks, are guaranteed as to payment of principal and interest by the U.S. government if held to maturity. Although Treasuries are considered free from credit risk, they are subject to other types of risks. These risks include interest rate risk, which may cause the underlying value of the bond to fluctuate inversely to a change in interest rates.

Exposure to the commodities markets may subject an investment to greater share price volatility than an investment in traditional equity or debt securities. The prices of various commodities may fluctuate based on numerous factors including changes in supply and demand relationships, weather and acts of nature, agricultural conditions, international trade conditions, fiscal monetary and exchange control programs, domestic and foreign political and economic events and policies, and changes in interest rates or sectors affecting a particular industry or commodity. Products that invest in commodities may employ more complex strategies which may expose investors to additional risks, including futures roll yield risk.

Investing in physical commodities, such as gold, silver, platinum or palladium, exposes a fund to other risk considerations such as potentially severe price fluctuations over short periods of time and storage costs that exceed the custodial and/or brokerage costs associated with the fund's other holdings.

Definitions

Alternative income includes international fixed income, high yield, emerging-market debt and real estate investment trusts.

Barclays Capital U.S. Aggregate Bond Index is composed of the Government Bond Index, the Asset-Backed Securities Index and the Mortgage-Backed Securities Index and includes U.S. Treasury issues, agency issues, corporate bond issues and mortgage-backed issues. It is unmanaged, includes reinvestment of dividends, does not reflect the impact of transaction, management or performance fees, and is unavailable for investment.

Barclays Capital U.S. Municipal Bond Market Index is an unmanaged index composed of long-term tax-exempt bonds with a minimum credit rating of Baa.

BofA Merrill Lynch Fixed Rate Preferred Securities Index℠ is designed to replicate the total return of a diversified group of preferred securities that must be investment-grade based on an average of three leading ratings agencies: Moody's, S&P and Fitch. The index is rebalanced on a monthly basis.

BofA Merrill Lynch Mortgage Master Index consists of fixed-rate, coupon-bearing bonds comprising generic pass-through securities which comprise numerous mortgage pools with various maturities. The amount outstanding in each agency/type/coupon subdivisions of the mortgage index must be greater than or equal to $200 million. CMOs are excluded to avoid double-counting.

BofA Merrill Lynch Municipals Master Index tracks the performance of U.S. dollar-denominated investment-grade tax-exempt debt publicly issued by U.S. states and territories, and their political subdivisions, in the U.S. domestic market. Qualifying securities must have at least one year remaining term to maturity, a fixed coupon schedule and an investment-grade rating (based on the average of Moody's, S&P and Fitch).

BofA Merrill Lynch U.S. AAA Agency Master Index includes all U.S. dollar-denominated bonds issued by U.S. agencies and government-sponsored enterprises with a least one year to maturity, including medium-term notes but excluding mortgage pass-throughs and agency label collateralized mortgage obligations, CMOs.

BofA Merrill Lynch U.S. Corporate Master Index tracks the performance of U.S. dollar-denominated investment-grade corporate public debt issued in the U.S. domestic bond market. Qualifying bonds must have at least one year remaining term to maturity, a fixed coupon schedule and a minimum amount outstanding of $150 million. Additional sub-indices are available that segment the index by maturity, rating and sector (Industrial, Finance, Utility, etc.).

BofA Merrill Lynch U.S. High Yield Master II Index is a market capitalization-weighted index of domestic and Yankee high-yield bonds. The index tracks the performance of high-yield securities traded in the U.S. bond market.

BofA Merrill Lynch U.S. Treasury Index tracks the performance of the direct sovereign debt of the U.S. government. It includes all U.S. dollar-denominated U.S. Treasury notes and bonds having at least one year remaining term to maturity and a minimum amount outstanding of $1 billion. Additional sub-indices are available that segment the index by maturity.

BOVESPA Brazilian Index is a total return index weighted by traded volume and comprises the most liquid stocks traded on the Sao Paulo Exchange. The Bovespa Index has been divided 10 times by a factor of 10 since Jan. 1, 1985. Shares in the index are displayed in millions.

Citigroup Non-USD WGBI is an unmanaged index generally considered to be a representative of the world bond market. Index results assume the reinvestment of all capital gain and dividend distributions.

Commodities are basic goods used in commerce that are generally interchangeable with other commodities of the same type. Commodities are most often used as inputs in the production of other goods or services.

Consumer Price Index (CPI) is a measure of the weighted average of prices of a basket of consumer goods and services, such as transportation, food and medical care. The CPI is calculated by taking price changes for each item in the predetermined basket of goods and averaging them; the goods are weighted according to their importance. Changes in CPI are used to assess price changes associated with the cost of living.

Customized WFA Index is composed of 35% BofA Merrill Lynch U.S. Treasury Master Index, 10% BofA Merrill Lynch U.S. AAA Agency Index, 15% BofA Merrill Lynch Mortgage Master Index, 25% BofA Merrill Lynch U.S. Corporate Master Index, 10% BofA Merrill Lynch Fixed Rate Preferred Index and 5% BofA Merrill Lynch U.S. Treasuries Inflation-Linked Index

Dow Jones/UBS Commodity Index is composed of futures contracts on 19 physical commodities. It reflects the return of underlying commodity futures price movements in precious metals (including gold and silver), industrial metals (aluminum, copper, nickel and zinc), energy (crude oil, heating oil, unleaded gasoline and natural gas), agricultural products (soybean oil, corn, soybeans, coffee, cotton, sugar and wheat) and livestock (live cattle and lean hogs).

Emerging markets are financial markets in countries with developing economies. These markets are typically immature compared to those of the world's major financial centers but are becoming increasingly sophisticated and integrated into international markets; they provide potentially higher returns but are intensely volatile.

High yield is noninvestment-grade fixed income securities (rated Ba1 or lower by Moody's and/or BB+ or lower by S&P). These investments are

Definitions

considered to be speculative and are subject to a higher degree of risk.

Intermediate-term fixed income includes instruments that mature in six to 12 years.

International investing involves putting money into financial markets in developed economies outside of the United States.

JP Morgan Emerging Markets Bond Index (EMBI Global) currently covers 27 emerging-market countries. Included in the EMBI Global are U.S. dollar-denominated Brady bonds, Eurobonds, traded loans, and local market debt instruments issued by sovereign and quasi-sovereign entities.

Large-cap growth stocks have a market cap greater than $10 billion and a price-to-book ratio greater than 2.3.

Large-cap value stocks have a market cap greater than $10 billion and a price-to-book ratio less than or equal to 2.3.

Long-term fixed income includes instruments whose maturities are greater than 12 years.

Mid-cap growth stocks have a market cap between $2 billion – $10 billion and a price-to-book ratio greater than 2.3.

Mid-cap value stocks have a market cap between $2 billion – $10 billion and a price-to-book ratio less than or equal to 2.3.

MSCI EAFE (Europe, Australasia and Far East) Index compiled by Morgan Stanley Capital International (MSCI) is a value-weighted index of the equity performance of major foreign markets. In effect, it is a non-American world index of more than 1,000 stocks.

MSCI Emerging-Market Index was created by MSCI and designed to measure equity market performance in global emerging markets. As of May 31, 2011, the MSCI Emerging Markets Index consisted of the following 21 emerging-market country indices: Brazil, Chile, China, Colombia, Czech Republic, Egypt, Hungary, India, Indonesia, Korea, Malaysia, Mexico, Morocco, Peru, Philippines, Poland, Russia, South Africa, Taiwan, Thailand and Turkey.

MSCI U.S. REIT Index is a free float market capitalization-weighted index that is comprised of equity REIT securities that belong to the MSCI U.S. Investable Market 2500 Index. The MSCI U.S. REIT Index includes only REIT securities that are of reasonable size in terms of full and free float-adjusted market capitalization to ensure that the performance of the equity REIT universe can be captured and replicated in actual institutional and retail portfolios of different sizes.

Russell 2000® Index measures the performance of the 2,000 smallest companies in the Russell 3000® Index, which represents approximately 8% of the total market capitalization of the Russell 3000 Index.

Russell 2000® Growth Index measures the performance of those Russell 2000 companies with higher price-to-book ratios and higher forecasted growth values.

Russell 2000® Value Index measures the performance of those Russell 2000 companies with lower price-to-book ratios and lower forecasted growth values.

Short-term fixed income includes instruments that mature in one to six years.

Small-cap growth stocks have a market cap less than $2 billion and a price-to-book ratio greater than 2.3.

S&P 500 Index is a market capitalization-weighted index, composed of 500 widely held common stocks, including reinvestment of dividends that is generally considered representative of the U.S. stock market.

S&P MidCap 400 Index is a capitalization-weighted index measuring the performance of the mid-range sector of the U.S. stock market, and represents approximately 7% of the total market value of U.S. equities. Companies in the Index fall between the S&P 500 Index and the S&P SmallCap 600 Index in size: between $1-4 billion.

S&P MidCap 400 Pure Growth and Pure Value Index measures growth and value in separate dimensions across six risk factors. Growth factors include sales growth, earnings change to price and momentum; and the value factors include book value-to-price ratio, sales-to-price ratio and dividend yield. The Pure Style Index Series only includes those stocks from the parent index that exhibit strong growth or value characteristics, and weights them by style score

S&P 500 Pure Growth and Pure Value Index measures growth and value in separate dimensions across six risk factors. Growth factors include sales growth, earnings change to price and momentum; and the value factors include book value-to-price ratio, sale- to-price ratio and dividend yield. The Pure Style Index Series only includes those stocks from the parent index that exhibit strong growth or value characteristics, and weights them by style score.

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